On the above date, Balan is admitted as a partner with 1/5 share in future profits. Following are the terms for his admission:

(i) Balan brings ₹ 25,000 as capital.

(ii) His share of goodwill is ₹10, 000 and he brings cash for it.

(iii) The assets are to be valued as under:

Building ₹ 80, 000; Debtors ₹ 18,000; Stock ₹ 33,000

Prepare necessary ledger accounts and the balance sheet after admission.

(Answer: Revaluation profit: ₹ 11, 000; Capital accounts: James: ₹ 58, 000; Justina: ₹ 68, 000; Balan: ₹ 25,000; Balance sheet total: ₹ 1,86,000)

27. Anbu and Shankar are partners in a business sharing profits and losses in the ratio of 3:2. The balance sheet of the partners on 31.03.2018 is as follows:

Liabilities	₹	₹	Assets	₹
Capital accounts:			Computer	40,000
Anbu	4,00,000		Motor car	1,60,000
Shankar	3,00,000	7,00,000	Stock	4,00,000
Profit and loss		1,20,000	Debtors	3,60,000
Creditors		1,20,000	Bank	40,000
Workmen compensation fund		60,000		
		10,00,000		10,00,000

Rajesh is admitted for 1/5 share on the following terms:

(i) Goodwill of the firm is valued at ₹ 75,000 and Rajesh brought cash for his share of goodwill.

(ii) Rajesh is to bring ₹ 1,50,000 as his capital.

(iii) Motor car is valued at ₹ 2,00,000; stock at ₹ 3,80,000 and debtors at ₹ 3,50,000.

(iv) Anticipated claim on workmen compensation fund is ₹10,000

(v) Unrecorded investment of ₹ 5,000 has to be brought into account.

Prepare revaluation account, capital accounts and balance sheet after Rajesh's admission.

(Answer: Revaluation profit: ₹15,000; Capital accounts: Anbu: ₹ 5,20,000; Shankar: ₹ 3,80,000; Rajesh: ₹ 1,50,000; Balance sheet total: ₹ 11,80,000)

12th-Accountancy-Unit-05.indd 180 1/4/2020 12:00:42 PM